Family Management

Family managed companies are those that have at the helm a member of the controlling family. The Chairman or the Chief Executive Officer is usually a member of the "ruling" family and the Board of Directors are peopled either by members of the family or their friends and "rubber stamps". This is not necessarily bad. It is just that all policy is determined by the controlling family and some of the policies may not necessarily always be in the shareholders' best interest. I remember a few years ago Kirloskar Pneumatics was quoting at Rs. 36 per share. At that time Kirloskar Tractors was not doing well. The controlling family merged the two companies and the price of Kirloskar Pneumatic fell to around Rs. 10. It was probably good for the family and for the shareholders of Kirloskar Tractors but the merger was disastrous for the shareholders of Kirloskar Pneumatics. In short, decisions are often made with family interests in view and employees are often treated as paid servants of the family even though they may be senior managers. For instance, in one company I know the Human Resources Manager is also involved in hiring maids and houseboys for his Chairman's house and he buys the vegetables, too. The New Delhi manager, whenever his "Seth" visits that city is expected to be at the company house every morning at 7 a.m. when the Chairman wakes up, and can only leave his master's presence after he retires for the night. I was witness to an incident at Bombay airport many years ago. The head of a large business house was going on a trip. The chief executives of his many companies had come to see him off. These gentlemen were well known individuals, captains of industry in their own right and respected for their achievements and accomplishments. These leaders bent double and touched their leader's feet when he left, and three of them were actually older than their master. Possibly, this may have been done as a sign of respect like a student touching his teacher's feet, but I do wonder what may have occurred if these individuals had not humiliated themselves with this gesture of obeisance. What I am trying to point out is that in many family run companies, employees are expected to be subservient to the family and loyalty to the family is considered even more important than talent. And often this loyalty is rewarded. If a retainer is ill, he is looked after well and all his medical expenses are borne by the family. When he retires he is